



September 23, 2025

Senator Karen E. Spilka
President of the Senate
24 Beacon St., Room 332
Boston, MA 02133

Senator Cynthia Stone Creem
Majority Leader of the Senate
24 Beacon St., Room 312-A
Boston, MA 02133

Senator Bruce E. Tarr
Minority Leader of the Senate
24 Beacon St., Room 308
Boston, MA 02133

RE: Ad Trade Letter in Opposition to Massachusetts S. 2608

Dear Senate President Spilka, Majority Leader Creem, and Minority Leader Tarr:

On behalf of the advertising industry, we respectfully oppose S. 2608 in its current form, and we offer this letter to express our non-exhaustive list of concerns with the proposed legislation.¹ We and the companies we represent, many of whom do substantial business in Massachusetts, strongly believe consumers deserve meaningful privacy protections supported by reasonable laws and industry policies. However, S. 2608 contains provisions that are out-of-step with privacy laws in other states and will only add to the increasingly complex privacy landscape for both businesses and consumers across the country. In addition, some ambiguous provisions in S. 2608 would create uncertainty for consumers regarding their rights and unnecessary burdens for well-meaning businesses endeavoring to comply with applicable laws. The Senate should consider updates to bring S. 2608 in line with the majority of states which have passed privacy legislation.

As the nation's leading advertising and marketing trade associations, we collectively represent thousands of companies across the country. These companies range from small businesses to household brands, advertising agencies, and technology providers. Our combined membership includes more than 2,500 companies that power the commercial Internet, which accounted for 18 percent of total U.S. gross domestic product ("GDP") in 2024.² By one estimate, over 314,500 jobs in Massachusetts are related to the ad-subsidized Internet.³ Our group has more than a decade's worth of hands-on experience it can bring to bear on matters related to consumer privacy and controls. We would welcome the opportunity to engage with the Senate further on the points we discuss in this letter.

¹ Massachusetts S. 2608 (2025-2026 Reg. Sess.), located [here](#) (hereinafter, "S. 2608").

² John Deighton and Leora Kornfeld, *Measuring the Digital Economy*, INTERACTIVE ADVERTISING BUREAU, 8 (April, 2025), located at https://www.iab.com/wp-content/uploads/2025/04/Measuring-the-Digital-Economy_April_29.pdf.

³ *Id.* at 136.

I. Massachusetts' Privacy Approach Should be Harmonized with Existing State Privacy Laws

We and our members support a national standard for data privacy at the federal level. In the absence of such a national standard, it is critical for state legislators to seriously consider the costs and confusion to both consumers and businesses that will accrue from a patchwork of differing privacy standards across the states. Harmonization with existing privacy laws is essential for creating an environment where consumers in Massachusetts have a consistent set of expectations and the same rights as individuals in other states, while minimizing compliance costs for businesses operating in the state. Additionally, the 60 proposed amendments to S. 2608 would further distance the bill from the clear and consistent privacy standards that consumers and businesses have come to expect across the country, risking less consumer understanding and weaker protections rather than stronger ones.

One way S. 2608 would deviate significantly from other existing state privacy laws is by failing to include the concept of pseudonymous data. Almost all state privacy laws acknowledge the privacy benefits and value of “pseudonymous data,” which is typically defined to include personal data that cannot be attributed to a specific natural person without the use of additional information. Other state laws consistently exempt this data from consumer rights to access, delete, correct, and port personal data, provided that the pseudonymous data is maintained separately from information needed to identify a consumer and safeguarded by technical and organizational controls that prevent the business from accessing such identifying information. This approach incentivizes businesses to maintain strong data safeguards, thereby enhancing consumer privacy. Absent an explicit exemption for pseudonymous data from consumer rights, companies could be forced to reidentify data or maintain it in identifiable form to comply with consumer rights requests. This not only increases risk of unnecessary exposure of personal data but also discourages companies from maintaining data sets separately. We ask the Senate to revise S. 2608 and harmonize it with the majority of other state privacy laws to exempt pseudonymous data from the consumer rights of access, correction, deletion, and portability.

Compliance costs associated with divergent privacy laws are significant. To make the point: a regulatory impact assessment of the California Consumer Privacy Act of 2018 concluded that the initial compliance costs to California firms would be \$55 billion.⁴ Another recent study found that a consumer data privacy proposal in Florida would have generated a direct initial compliance cost of \$6.2 billion to \$21 billion and ongoing annual compliance costs of \$4.6 billion to \$12.7 billion for the state.⁵ Other studies also confirm the steep costs businesses face when navigating a patchwork of state privacy standards. One report found that state privacy

⁴ See State of California Department of Justice Office of the Attorney General, *Standardized Regulatory Impact Assessment: California Consumer Privacy Act of 2018 Regulations*, 11 (Aug. 2019), located at https://dof.ca.gov/wp-content/uploads/sites/352/Forecasting/Economics/Documents/CCPA_Regulations-SRIA-DOF.pdf.

⁵ See Florida Tax Watch, *Who Knows What? An Independent Analysis of the Potential Effects of Consumer Data Privacy Legislation in Florida*, 2 (Oct. 2021), located at <https://floridatxwatch.org/DesktopModules/EasyDNNNews/DocumentDownload.ashx?portalid=210&moduleid=34407&articleid=19090&documentid=986>.

laws could impose out-of-state costs of between \$98 billion and \$112 billion annually, with costs exceeding \$1 trillion dollars over a 10-year period, and with small businesses shouldering a significant portion of the compliance cost burden.⁶ Diverging from widely adopted privacy standards would increase new and ongoing compliance costs for businesses and create confusion for consumers. The Senate should revise S. 2608 to adopt a data privacy approach that harmonizes with other states.

II. The Bill Restricts Data Collection and Processing in Ways that Would Slow Economic Growth

S. 2608 includes data minimization terms that would severely restrict data collection and processing, threatening the vital flow of data that fuels the economy. The terms would limit the collection and processing of personal data to what is reasonably necessary to provide or maintain a specific product or service requested by the consumer to whom the data pertains and prohibit the collection, processing, or transferring of sensitive data of a consumer unless “strictly necessary” to provide or maintain a product or service requested by the consumer.⁷ These narrow provisions would significantly constrain business’ ability to leverage data in ways that benefit consumers and support economic growth. At best, the ambiguity of these provisions makes it difficult for businesses to determine what data collection and processing activities are permissible. At worst, these provisions risk infringing on First Amendment rights by restricting the collection and use of data that underpins protected forms of speech, including advertising.

For example, restricting access to personal data and sensitive data under these provisions could stifle innovation, diminish the effectiveness of personalized communications and advertising, and obstruct the development of affordable products and services. Additionally, it would constrain the use of personal data for seeking new customers, making it harder for smaller, medium, and larger-sized businesses to identify and reach new audiences for their products and services.

The vast majority of states that have enacted data privacy laws allow businesses to collect and process personal data in ways that are *reasonably necessary and proportionate* to the purposes for which the personal data was originally collected, as disclosed to the consumer.⁸ In contrast, S. 2608 takes a more restrictive approach that deviates from this widely accepted standard. If enacted as currently drafted, S. 2608 could limit the benefits that Massachusetts consumers receive from responsible data processing, putting them at a disadvantage compared to their neighbors in nearby states and other parts of the country. To avoid these unintended

⁶ Daniel Castro, Luke Dascoli, and Gillian Diebold, *The Looming Cost of a Patchwork of State Privacy Laws* (Jan. 24, 2022), located at <https://itif.org/publications/2022/01/24/looming-cost-patchwork-state-privacy-laws> (finding that small businesses would bear approximately \$20-23 billion of the out-of-state cost burden associated with state privacy law compliance annually).

⁷ S. 2608 § 5(a).

⁸ See, e.g., Cal. Civ. Code § 1798.100(c); Va. Code Ann. § 59.1-578(1).

consequences, Massachusetts should revise the data minimization terms in S. 2608 to align with proven terms adopted elsewhere that have benefitted both consumers and businesses alike.

III. The Bill's Ban on Sensitive Data Sales Would Impede Location-Based Advertising, Vital Fraud Prevention Tools, and Reliable Emergency Alerts

S. 2608 includes a ban on sales of sensitive data, including precise geolocation data.⁹ The vast majority of other state privacy laws allow consumers to *consent* to sensitive data processing rather than imposing a strict ban on all sales of such data. Without the ability to collect and use sensitive data, such as precise geolocation data, for advertising purposes, businesses will have a more difficult time, and face higher costs, reaching individuals with relevant marketing, and consumers will not be alerted to products and services they desire that are near to them. The bill should be updated to allow Massachusetts consumers to exercise choice by providing consent for sensitive data sales instead of imposing a flat ban on the activity.

S. 2608's proposed ban on sensitive data sales would also have unintended consequences that would negatively impact essential services that consumers rely on and expect. For example, precise geolocation information powers important emergency notices, particularly AMBER alerts and severe weather notices, allowing these notices to quickly reach people in affected areas across any device they are using.¹⁰ If the ban on sensitive data sales is enacted, location data will be less accessible in the marketplace for vital emergency alert services.

In addition, these restrictions could undermine efforts to detect and prevent fraud. Financial institutions, retailers, and other companies rely on anti-fraud services that include location data provided by third parties. The responsible transfer—or “sale”—of location data allows anti-fraud and identity protection services to flag suspicious behavior and protect vulnerable communities. Limiting the responsible use of this data could make Massachusetts residents more vulnerable to identity theft and other serious harms.

An exemption to the proposed ban for emergency alerts and fraud prevention would not solve this issue, as these services are powered by location data provided by third parties. Even with an exception, the ban on sales of sensitive data would make location data generally less accessible and procurable from third parties in the marketplace, and as a result would have downstream effects on the use of that data for emergency alerts and fraud prevention. To preserve these vital uses of sensitive data, and to allow consumers to receive location-powered messaging and advertising, the bill should be updated to require consumer consent for sensitive data sales instead of outlawing the activity outright.

⁹ S. 2608 § 5(a).

¹⁰ See, e.g., *Federation for Internet Alerts*, located [here](#) (describing a partnership between FIA and the National Center for Missing and Exploited Children (NCMEC) that leverages the same technology used to deliver advertising and marketing messages to issue and maximize the effectiveness of alerts for emergencies such as child abductions, tornado warnings, and other hazards).

IV. The Bill's Ambiguous Anti-Discrimination Term Could Undermine Relevant Engagement and Outreach Efforts

S. 2608 includes an ambiguous requirement that personal data must not be processed in ways that would make “unavailable the equal enjoyment of good or services.”¹¹ This ambiguity could unintentionally prohibit targeted advertising and messaging to specific communities. For example, businesses might be barred from using gender-based data to promote clothing tailored to individual preferences. More concerning, the provision could discourage entities from engaging specific groups or reaching out to particular constituencies and communities with relevant and helpful messaging. Similar to other enacted state laws, Massachusetts should ensure that anti-discrimination provisions focus on preventing the processing of personal data in ways that violate state or federal laws against unlawful discrimination, rather than broadly restricting targeted engagement and outreach efforts.¹²

V. S. 2608 Should Provide Reasonable Safeguards for Opt-Out Preference Signals to Preserve Consumer Choice

S. 2608 would require data controllers to honor consumer requests to opt out of the collection or processing of personal data via an opt-out preference signal.¹³ However, the bill lacks critical safeguards that are present in other state privacy laws, particularly around default settings and the equitable treatment of business models. For example, S. 2608 does not prohibit opt-out signals from being enabled by default and does not prevent certain businesses or technologies from being unfairly advantaged or disadvantaged based on how those signals are implemented.

At a minimum, S. 2608 should be revised to align with existing state privacy laws that include clear and necessary protections.¹⁴ These protections ensure that global opt-out settings (1) reflect a consumer's actual, informed choice, (2) are not activated by default without the consumer's affirmative, freely given, and unambiguous consent, and (3) do not advantage or disadvantage certain businesses or models in the marketplace. Without these safeguards, consumers may be misled or confused about the privacy rights available to them and how to exercise those rights effectively. The current ambiguity in S. 2608 could result in inconsistent implementation across platforms and services, undermining consumer trust and creating compliance challenges for businesses. It could also permit intermediary interference that limits competition in the market. We urge the Senate to revise the opt-out signal provisions to include explicit guidelines, particularly around default settings and how those signals are implemented by businesses.

¹¹ S. 2608 § 4(f).

¹² See, e.g., Va. Code Ann. § 59.1-578(A)(4); Colo. Rev. Stat. § 6-1-1308(6); Conn. Gen. Stat. § 42-520(a)(5).

¹³ S. 2608 § 5(e)(ii).

¹⁴ See, e.g., Conn. Gen. Stat. § 42-520(e)(1)(A)(ii); N.H. Rev. Stat. § 507-H:6(V)(a)(1)(B).

VI. A Requirement to Disclose Names of Specific Third-Party Partners Would Impose Operational Challenges with Limited Consumer Benefit

S. 2608 diverges from nearly all state privacy laws by requiring covered entities to disclose “...a list of third parties to which the controller has transferred the consumer’s personal data” upon a consumer’s request.¹⁵ This level of disclosure is not required under the vast majority of existing state privacy laws, which recognize the operational challenges and limited consumer benefit of such a provision. Instead, most other state privacy laws require companies to disclose the *categories* of third parties to whom they transfer personal data rather than the specific names of such third parties themselves.¹⁶

Requiring companies to document and disclose the names of all third parties with whom they share personal data would impose a significant operational burden. In the advertising ecosystem, businesses regularly engage with myriad entities to deliver efficient and effective digital advertising, including ad exchanges, supply side platforms, demand side platforms, data management platforms, advertising agencies, and more. The list of advertising partners a business may work with is dynamic, variable, and subject to change regularly over a short period of time. Moreover, business relationships are constantly changing, as companies merge with others, rebrand, or dissolve, further exacerbating the challenges of the proposed requirement. For instance, a company may engage with a new third-party advertising partner on the same day it responds to a consumer disclosure request. Under S. 2608, the company would be forced to either delay that transaction until its privacy disclosures are updated to disclose the advertising partner’s name or risk noncompliance, an unreasonable constraint that could disrupt normal business operations.

From an operational standpoint, maintaining an up-to-date list of all third-party partners would require substantial time and resources, diverting attention away from other compliance obligations in this bill. As a result, companies may be forced to forgo new opportunities or delay partnerships simply to manage the logistics of compiling, updating, and distributing constantly shifting lists, an outcome that undermines both economic growth and consumer benefit.

International privacy standards like the European Union’s General Data Protection Regulation (“GDPR”) also do not require burdensome disclosures of specific third parties in response to data subject access requests, according to the text of the law. Mandating that companies disclose the names of their third-party partners could obligate companies to abridge confidentiality clauses they maintain in their contracts with partners and expose proprietary business information to their competitors.

Ultimately, providing consumers with a list of third-party data recipients is unlikely to deliver meaningful value or insight. The benefit would be especially insignificant given S. 2608

¹⁵ S. 2608 § 4(a)(ii).

¹⁶ See, e.g., Cal. Civ. Code § 1798.110; Va. Code Ann. § 59.1-578(C); Colo. Rev. Stat. § 6-1-1308(1)(a); Conn. Gen. Stat. § 42-520(c)(5); Utah Rev. Stat § 16-61-302(1)(a).

already requires covered entities to disclose *categories* of third-party partners in privacy notices for consumers.¹⁷ For these reasons, we encourage the Senate to strike the burdensome provision requiring disclosure of a list of specific third parties, which diverges from the approach to disclosures taken in almost all existing state privacy laws. To align S. 2608 with other state privacy laws, the bill should require disclosure of the categories of third parties rather than the names of such third parties themselves.

VII. Broad Regulatory Authority for Attorney General Should Be Removed

S. 2608's enforcement provisions grant the Massachusetts Attorney General ("AG") rulemaking authority to "adopt, amend, or rescind rules or regulations" to implement and enforce the law.¹⁸ This marks a significant departure from the approach taken by most other states, which have deliberately withheld such AG powers in their privacy laws to foster a predictable regulatory environment for consumers and companies. Without specific statutory guidance, broad rulemaking authority could lead to unpredictable regulatory interpretations and changes to prior interpretations, further distancing Massachusetts from existing privacy standards and increasing compliance burdens for businesses.

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¹⁷ S. 2608 § 5(c)(1)(v).

¹⁸ S. 2608 § 10(a).



We and our members strongly support meaningful privacy protections for consumers. We therefore respectfully ask the Senate to decline to advance S. 2608 as proposed.

Thank you in advance for your consideration of this letter.

Sincerely,

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